MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
(2024 Admission Onwards)
B.Com. SEMESTER III - MODEL QUESTION PAPER
MG3DSCBST200 - ENTREPRENEURSHIP AND STARTUPS

Time: 2 Hour **Max. Marks: 70**

[Students should attempt at least one question from each course outcome to enhance their overall outcome attainability]

SECTION A – VERY SHORT ANSWER

[Attempt any 10 questions. Each question carries 1 mark.]

1. Which entrepreneurial characteristic is demonstrated when a student develops a new mobile app to solve a daily problem? [U]/[CO1]
2. Which startup model provides basic services free, but charges for premium services? [U]/ [CO1] [CO2]
3. Give one example of a B2C business. [U]/ [CO1] [CO2]
4. What do we call entrepreneurs who emerge from within an organisation? [U]/[CO1]
5. What is the visual technique used to generate and organise business ideas around a central concept? [U]/[CO2]
6. What is the main benefit of bootstrapping over other funding methods? [U]/[CO3]
7. Which type of startup support system does a company with a Minimum Viable Product (MVP) typically join to scale and grow? [U] / [CO3] [CO4]
8. At what stage of business development is angel investment most appropriate? [U] / [CO4]
9. What do you call a brief, clear summary of a business idea to quickly spark investor interest? [U] / [CO3]
10. List any two types of innovation grants provided by KSUM to startups. [U]/ [CO4]
11. Which participative method of an EDP facilitates group discussions to generate new ideas, solve problems and encourage creative thinking? [U] / [CO4]
12. For a grocery shop in a village, which authority must assess the registration application? [U] / [CO5]

(10 × 1 = 10 marks)

SECTION B

[Attempt any 1 question. Each question carries 30 marks.]

13. In an entrepreneurial summit, several entrepreneurs are discussing their approaches to business. The profile of the entrepreneurs is given;
    a. Rohan replicates existing business models with minimal innovation.
    b. Priya adapts existing products or services to new markets.
    c. Ria creates new products or services that disrupt the market.
    d. Aman focuses on sustainable and environmentally- friendly businesses.
    e. Akshay leverages technology to create innovative products or services.

    Answer the following questions (6 marks each):
    1. Classify each of these entrepreneurs based on the descriptions.
    2. What qualities do you think each of these entrepreneurs possesses, and how do they contribute to their success?
    3. What challenges might each of these entrepreneurs' face, and how can they overcome them?
    4. How do the approaches of these entrepreneurs differ, and what are the potential benefits and drawbacks of each approach?
    5. Which type of entrepreneur do you think is most relevant in today's business landscape, and why? [A] /[CO1] [CO2] [CO5]

14. A group of women from a Kudumbashree unit in Kottayam noticed the growing demand for healthy, homely food among office workers. They launched "Sky Café", a cloud kitchen offering traditional Kerala meals on subscription (weekly/monthly) and one-time delivery through Swiggy and Zomato. They use eco-friendly banana leaf packaging and source vegetables directly from local farmers.

    Answer the following questions (6 marks each)
    1. Identify the business model(s) used in this case.
    2. Which entrepreneurial characteristics are reflected in this initiative?
    3. Discuss the types of innovation visible in the business.
    4. What functions of an entrepreneur are being performed by the Kudumbashree women?
    5. Suggest two methods for validating their idea before scaling up.

    [A] /[CO1] [CO2] [CO5]

15. A student team from an Institution's Innovation Council of an Arts & Science College in Thiruvananthapuram is planning to start a coding services company. They are debating whether to register as a Limited Liability Partnership (LLP) or as a Private Limited Company. There are four student founders, and they project a turnover of ₹50 lakh within two years. Registering as an LLP would mean lower costs and simpler compliance, but their faculty mentor insists that investors prefer a Private Limited Company, which requires higher compliance and filing through the SPICe+ form. The team must weigh investor attractiveness against compliance costs and scalability for the future.

    Answer the following questions (6 marks each);
    (a) Compare LLP and Private Limited Company in terms of compliance.
    (b) Why are investors more attracted to Private Limited Companies?
    (c) How does projected turnover influence the decision?
    (d) What is the role of scalability in this choice?
    (e) Recommend the best registration option for the team.

[A] /[CO4] [CO5]

(1 × 30 = 30 marks)

SECTION C

[Attempt any 1 question. Each question carries 30 marks.]

16. Prepare a project report for setting up a small-scale handmade soap manufacturing unit, considering market demand and financial viability. An outline of the project report with key heads/sections is given below;

- Introduction & Objectives – Natural, chemical-free soap, rising demand.
- Raw Materials – Oils, lye, herbal additives, packaging materials.
- Production Process – Oil mixing, saponification, molding, curing, cutting.
- Machinery – Mixing tank, molds, cutter, curing racks.
- Manpower – 1 supervisor, 2 workers, 1 part-time sales assistant.
- Cost Estimates – Rent, machinery cost (₹2,50,000), working capital.
- Financials – 2,000 soaps/month, profit ₹45,000, break-even period-10 months.
- Marketing – Organic stores, online promotion, eco-friendly packaging.
- Conclusion – High potential niche product, good ROI.

[S] /[CO3] [CO5]

17. A team of students plans to pitch their idea of a plastic waste recycling unit to the Kerala Startup Mission. Their proposal requires an investment of ₹12 lakhs, with the unit capable of handling 1,000 kg of plastic waste per month. While they have worked out the cost and revenue structure, they must convince investors by showing investor-friendly elements in the pitch. They also need to highlight the environmental benefits of recycling plastic, present their understanding of the market need, and show how they intend to scale operations in the future. Investors would expect clarity on profitability, environmental impact, and break-even feasibility.

Answer the following questions (6 marks each);

(a) What are the essential elements investors usually look for in such a pitch?
(b) How should the team present the environmental benefits of their idea?
(c) Why is understanding the market need important for this venture?
(d) What factors can strengthen their pitch from an investor's perspective?
(e) Why is it necessary to include break-even feasibility in the presentation?

[S] /[CO3] [CO5]

18. Reema, a second-year B.Com. student, wants to start a small business called "Reema's Delights." She will sell homemade, premium, preservative-free 'unniyappam' made from natural ingredients like jaggery, coconut, and rice flour. Her aim is to offer tasty and healthy snacks to families and working people who care about their health. The product will be priced as a premium option that brings back traditional home-cooked flavours without harming quality or safety. Through this business, Reema wants to encourage healthy eating and create a customer-friendly and sustainable brand.

Develop a business plan by addressing the following questions (6 marks each).

1. What is the problem or need that Reema's business is trying to solve?
2. How does her product solve the problem? What makes it special or different?
3. Who are the target customers that Reema's business is meant for?
4. Write a short 'elevator pitch' that Reema can use at the start of her presentation.
5. What challenges might Reema face when starting this business, and how can she overcome them?

[S] /[CO3] [CO5]

(1 × 30 = 30 marks)